Amerimed
WELLNESS INSTITUTE

Amerimed Wellness Institute
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PATIENT FINANCIAL SERVICES · AMW-PAT-003

Financial Assistance (Charity Care) Policy

Free and discounted care for uninsured and underinsured patients

Document ID	AMW-PAT-003	**Version**	5.0
Effective date	2026-01-01	**Next review**	2027-01-01
Policy owner	Kenji Watanabe, VP Revenue Cycle & Patient Financial Services	**Approved by**	Board of Directors, Finance Committee
Applies to	All Amerimed hospitals and hospital-based clinics in CA, OR and WA; employed physician services	**Classification**	Public

1. Purpose

As a nonprofit health system, Amerimed provides emergency and medically necessary care to all patients regardless of ability to pay. This policy meets: - **IRS Section 501(r)** requirements for nonprofit hospitals - **California** Hospital Fair Pricing Act (Health & Safety Code 127400 et seq., as amended by AB 1020 and AB 532) - **Oregon** ORS 442.614 (hospital financial assistance) - **Washington** RCW 70.170 and WAC 246-453 (charity care)

2. Eligibility and discounts

Eligibility is based on household income as a percentage of the **Federal Poverty Guidelines (FPG)**. Where state law requires a more generous standard, that standard applies to facilities in that state.

Household income (% of FPG)	California facilities	Oregon facilities	Washington facilities
0 - 200%	100% free care	100% free care	100% free care (Tier 1 hospitals: 0 - 300%)
201 - 300%	100% free care	75% discount	100% free (Tier 1)
301 - 400%	Discounted to the highest government payer rate (high-cost-patient protection)	50% discount	75% discount
401 - 500%	Discount to Amounts Generally Billed (AGB)	25% discount	50% discount
Medical expenses > 10% of household income (any income)	Eligible for "high medical cost" discount	Case-by-case	Case-by-case

2026 example: for a family of four, 200% FPG = USD 64,300 and 400% FPG = USD 128,600 (illustrative figures based on the published guideline).

2.1 Amounts Generally Billed (AGB)

Patients eligible for assistance are never charged more than the AGB for emergency or medically necessary care. Amerimed uses the **look-back method**: the AGB percentage is **31%** of gross charges for fiscal year 2026, based on Medicare fee-for-service and all private insurers.

2.2 Services covered

Emergency and medically necessary inpatient, outpatient and professional services billed by Amerimed. Not covered: cosmetic procedures, elective fertility treatment, private-room upgrades, and services of non-Amerimed providers (a list of providers covered and not covered is available on request).

3. How to apply

- **Apply at any time**: before care, during your stay, or up to **365 days** after the first post-discharge billing statement (California: there is no deadline to apply).
- Apply online at www.amerimedwellness.example/financial-help, in person with a financial counsellor at any registration desk, or by phone at 1-888-555-0127.
- **Documents (one of):** recent pay stubs, a tax return, a Social Security benefits letter, or a self-attestation of income if you have no documents. Amerimed may use **presumptive eligibility** scoring from public data (credit-bureau-independent) to grant assistance automatically.
- Assets are **not** considered for California applicants (except as permitted by law for high-cost patients).
- A decision is made within **30 days** of receiving a complete application. Approval is valid for 12 months.
- Applications are available in English, Spanish, Chinese, Vietnamese, Tagalog, Korean and Russian, and in every language spoken by 5% or 1,000 of the community, whichever is less.

4. Billing and collections protections

- **Plain-language summary** of this policy is offered at registration, on discharge and on every billing statement.
- **No extraordinary collection actions (ECAs)** - such as credit reporting, selling debt, lawsuits or liens - are taken before **180 days** after the first post-discharge statement. California hospitals do not report to credit bureaus at all, and do not sell debt or garnish wages for financial-assistance-eligible patients.
- **Interest-free extended payment plans** are available. Monthly payments are no more than 10% of the family's monthly income after essential living expenses.
- Patients are screened for Medi-Cal, Oregon Health Plan, Apple Health (WA), Medicare, Covered California and other programmes. Financial counsellors help with enrolment.
- **Washington:** hospitals must screen for charity care before starting any collection action.

5. Emergency care

Amerimed provides emergency medical care in line with **EMTALA**, without discrimination and regardless of eligibility under this policy. We do not ask for payment or insurance information in a way that would delay screening or stabilising treatment.

6. Reporting

Charity care is reported each year in IRS Form 990 Schedule H, to the California Department of Health Care Access and Information (HCAI), to the Oregon Health Authority and to the Washington Department of Health. FY2025 charity care at cost (illustrative): **USD 186 million**.

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